

Immediate annuities thus provide a mechanism for pooling, sharing, and hedging longevity risk over a large population, which leads to a higher yield for annuitants. Finally, they provide stable and predictable income that is not subject to the vagaries of the stock market. It's a fixed-income bond product together with a longevity coupon "kicker."

To get a better understanding on how this works, Table 9.3 provides some real-world data and displays sample quotes for single premium immediate annuities (SPIAs as they are often abbreviated) in late 2007. Each column contains the best five quotes for the given starting age and gender. These numbers are provided by a company called CANNEX Financial Exchanges, which is attempting to provide the equivalent of a stock exchange quoting system for retirement income products.

TABLE 9.3 What Does \$100,000 Buy You?
Monthly Income for Life

<i>Company</i>	65-Year-Old Male		65-Year-Old Female	
	<i>No PC</i>	<i>10-Yr PC</i>	<i>No PC</i>	<i>10-Yr PC</i>
A	\$711	\$681	\$658	\$641
B	\$695	\$668	\$650	\$635
C	\$689	\$659	\$639	\$623
D	\$681	\$656	\$633	\$618
E	\$678	\$655	\$629	\$613

Source: CANNEX Financial Exchanges, November 2007.

Here is how to read the numbers in Table 9.3. For example, if a 65-year-old female invests or allocates \$100,000 into a SPIA, then the upper range for lifetime income that she will receive is \$629 to \$658 per month, depending on which insurance carrier is selected. Note that this income stream will completely cease upon death. If she dies ten, five, or even one year into the annuitization period, everything is lost. Naturally, many people select a guarantee period for their SPIA, at the expense of a slightly lower income stream. For example, as shown in the same table, if the 65-year-old female selects a 10-year payment certain (PC, as they are often called), the upper income